

REPORTABLE**IN THE SUPREME COURT OF INDIA
CIVIL ORIGINAL JURISDICTION****WRIT PETITION (CIVIL) NO.546 OF 2020****CENTRE FOR PUBLIC
INTEREST LITIGATION****...PETITIONER(S)****VERSUS****UNION OF INDIA****...RESPONDENT(S)****J U D G M E N T****ASHOK BHUSHAN, J.**

From the beginning of this year, 2020, the world including our country is in the grip of a pandemic known as Novel Coronavirus (COVID-19). On 31.12.2019, a cluster of cases of pneumonia of unknown cause in the city of Wuhan, Hubei Province in China was reported to the World Health Organisation (WHO). This was subsequently identified as a new virus in January, 2020 and over the following months, the number of cases continued to rise but were not

pandemic and has no mention of measures like lockdown, containment zones, social distancing etc. The Central Government has notified COVID-19 as a "disaster" under Act, 2005 and has issued series of notifications to contain the instant pandemic. Petitioner pleads that Centre need to prepare a well-drawn National Plan to deal with instant pandemic and the same need to be prepared after due consultation with the State Government and experts. Petitioner further pleads that Centre should come up with detailed guidelines recommending the minimum standards of relief to be provided in the relief camps in relation to shelter, food, drinking water, medical cover and sanitation, in absence of which, shelter homes and relief camps are susceptible of becoming hotbeds for the spread of COVID-19 infection. Petitioner pleads that Centre should come up with detailed guidelines under Section 12(ii) and (iii) of the Act, 2005 recommending special provisions to be made for widows and orphans and ex

gratia to be provided to the kith and kin of those losing life not just because of COVID-19 infection but also due to harsh lockdown restrictions.

13. The petitioner's case further is that the grants/contributions by individuals and institutions should be credited into the National Disaster Response Fund (NDRF) under Section 46 of the Act, 2005 and NDRF should be utilized for meeting the ongoing COVID-19 crisis. All the contributions made by the individuals and institutions in relation to COVID-19 are being credited into the PM CARES Fund and not in NDRF, which is clear violation of Section 46 of the Act, 2005. The NDRF is subject to CAG Audit and PM CARES Fund is not subject to CAG Audit. Petitioner's case further is that the Centre may be directed to utilize NDRF for the purpose of drawing assistance to fight against COVID-19 and all the contributions/grants from individuals and institutions be credited to the NDRF in terms of

constituted by Central Government, all amount given by individuals and organisations for disaster should have been credited in NDRF. He submits that PM CARES Fund should not have been constituted when NDRF is already in place to take care of disasters. Shri Dave submits that there is no provision in 2019 Plan to give fund to NDRF. Referring to Operational Guidelines for Constitution and Administration of the National Disaster Response Fund at page 129 of the writ petition, Shri Dave submits that paragraph 5.5 provides that contribution made by the persons or institutions for the purpose of disaster management to be credited in the NDRF, which clause 5.5 has been omitted in the subsequent Operational Guidelines for Constitution and Administration of the National Disaster Response Fund filed at page 154, which is recent guidelines. By deletion of clause 5.5 now contribution by any person or institution for the purpose of disaster management to the NDRF is not permissible. Shri Dave submits that petitioners have

no reason to doubt the bonafide of PM CARES Fund but by creating PM CARES Fund the NDRF is being circumvented. What cannot be done directly cannot be done indirectly. Although, NDRF is audited by CAG, the PM CARES Fund is audited by only private auditors.

17. Shri Tushar Mehta, learned Solicitor General refuting the submissions of the counsel for the petitioners submits that reliefs (i) and (ii) made in the writ petition has become infructuous since National Plan has already been prepared under Section 11, which has been referred to in the counter affidavit and relevant extract of the Plan has already been brought on record as Annexure R-1 along with counter affidavit. He submits that insofar as the guidelines for minimum standards of reliefs are concerned, there are guidelines in existence, which has been brought on record by the counter affidavit, which covers all disasters including COVID-19. Shri

5.4 During the years 2015-20 transfers to the NDRF established in the Public Account of India will be made by operating the following heads of account: Major Head "2245-Relief on account of Natural Calamities - 80-General-797-Transfers to Reserve Funds and Deposit Account'-Transfer to National Disaster Response Fund."

57. The above is the scheme. As per paragraph 10 of the new guidelines, expenditure from NDRF is meant to assist a State to provide immediate relief in those cases of severe calamity, where the expenditure required is in excess of the balance in the State's SDRF. The NDRF is a statutory fund required to be audited by the Comptroller & Auditor General of India, which was constituted under Act, 2005 and is still in existence for the purposes as enumerated in the statute as well as in the guidelines issued under Act, 2005.

58. We may now notice the PM CARES Fund. Petitioner has brought on record certain details of PM CARES Fund as Annexure-P13. The details about the PM CARES

Fund as brought on record as Annexure-P13 of the writ petition are as follows:

“Keeping in mind the need for having a dedicated national fund with the primary objective of dealing with any kind of emergency or distress situation, like posed by the COVID-19 pandemic, and to provide relief to the affected, a public charitable trust under the name of ‘Prime Minister’s Citizen Assistance and Relief in Emergency Situations Fund’ (PM CARES Fund)’ has been set up.

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Objectives :

- To undertake and support relief or assistance of any kind relating to a public health emergency or any other kind of emergency, calamity or distress, either man-made or natural, including the creation or upgradation of healthcare or pharmaceutical facilities, other necessary infrastructure, funding relevant research or any other type of support.
- To render financial assistance, provide grants or payments of money or take such other steps as may be deemed necessary by the Board of Trustees to the affected population.
- To undertake any other activity, which is not inconsistent with the above Objects.

Constitution of the Trust :

- Prime Minister is the ex-officio Chairman of the PM CARES Fund and Minister of Defence, Minister of Home Affairs and Minister of Finance, Government of India are ex-officio Trustees of the Fund.
- The Chairperson of the Board of Trustees (Prime Minister) shall have the power to nominate three trustees to the Board of Trustees who shall be eminent persons in the field of research, health, science, social work, law, public administration and philanthropy.
- Any person appointed a Trustee shall act in a pro bono capacity.

Other details :

- The fund consists entirely of voluntary contributions from individuals/organizations and does not get any budgetary support. The fund will be utilised in meeting the objectives as stated above.
- Donations to PM CARES Fund would qualify for 80G benefits for 100% exemption under the Income Tax Act, 1961. Donations to PM CARES Fund will also qualify to be counted as Corporate Social Responsibility (CSR) expenditure under the Companies Act, 2013
- PM CARES Fund has also got exemption under the FCRA and a separate account for receiving foreign donations has been opened. This enables PM CARES Fund to

accept donations and contributions from individuals and organizations based in foreign countries. This is consistent with respect to Prime Minister's National Relief Fund (PMNRF). PMNRF has also received foreign contributions as a public trust since 2011.

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59. From the above details, it is clear that PM CARES Fund has been constituted as a **public charitable trust**. After outbreak of pandemic COVID-19, need of having a dedicated national fund with objective of dealing with any kind of emergency or distress situation, like posed by the COVID-19 pandemic, and to provide relief to the affected, a fund was created by constituting a trust with Prime Minister as an ex-officio Chairman of PM CARES Fund, with other ex-officio and nominated Trustees of the Fund. The PM CARES Fund consists entirely of voluntary contributions from individuals/organisations and does not get any Budgetary support. No Government money is credited in the PM CARES Fund.

60. After noticing constitution of NDRF as well as PM CARES Fund now we may notice the contentions raised by Shri Dave. The submission of Shri Dave is that the earlier guidelines for administration of NDRF which came into force with effect from financial year 2010-11 have been modified by new guidelines with effect from financial year 2015-16, and now it is not possible for any person or institution to make contribution to the NDRF. Shri Dave submits that paragraph 5.5 of earlier guidelines has been deleted to benefit the PM CARES Fund so that all contributions by any person or institution should go in the PM CARES Fund. Shri Dave submits that deletion of paragraph 5.5 of earlier guidelines (at page 130) in the new guidelines (at page 154-155) makes it clear that now it is not possible for any person or institution to make any contribution to NDRF.

61. There are two reasons for not accepting the above submission. Firstly, paragraph 5.5 of earlier guidelines which contemplated contributions by any

person or institution for the purpose of disaster management to the NDRF are very much still there in the new guidelines, which have come into force with effect from financial year 2015-16. New guidelines contain the same heading, i.e., "Contribution to the NDRF" and guideline 5.2 provides "Funds will be credited into the NDRF in accordance with the provisions of the Section 46(1)(a) & (b) of the Disaster Management Act, 2005." The above guideline 5.2 specifically referred to Section 46(1)(a) & (b) and Section 46(1)(b) expressly provides that any grants that may be made by any person or institution for the purpose of disaster management shall be credited into the NDRF. The submission that after the new guidelines, it is not possible for any person or institution to make any contribution to the NDRF is, thus, misconceived and incorrect. According to the statutory provisions of Section 46 as well as new guidelines enforced with effect from financial year

66. Further as observed above, it is for the Central Government to take the decision as from which fund what financial measures are to be taken and it is neither for PIL petitioner to claim that any financial assistance be made from particular fund nor this Court to sit in judgment over the financial decisions of the Central Government.

67. The PM CARES Fund is a public charitable trust and is not a Government fund. The charitable trusts are public trusts. Black's Law Dictionary, Tenth Edition defines charitable trust in following words:

"charitable trust. A trust created to benefit a specific charity, specific charities, or the general public rather than a private individual or entity. Charitable trusts are often eligible for favorable tax treatment."

68. The mere fact that administration of the Trust is vested in trustees, i.e., a group of people, will not

itself take away the public character of the Trust as has been laid down in **Mulla Gulam Ali & Safiabai D. Trust Vs. Deelip Kumar & Co., (2003) 11 SCC 772.** In paragraph 4, this Court laid down:

"4. The mere fact that the control in respect of the administration of the Trust vested in a group of people will not itself take away the public character of the Trust....."

69. The contributions made by individuals and institutions in the PM CARES Fund are to be released for public purpose to fulfill the objective of the trust. The PM CARES Fund is a charitable trust registered under the Registration Act, 1908 at New Delhi on 27.03.2020. The trust does not receive any Budgetary support or any Government money. It is not open for the petitioner to question the wisdom of trustees to create PM CARES fund which was constituted with an objective to extend assistance in the wake of public health emergency that is pandemic COVID-19.

70. Shri Dave during submissions has fairly submitted that he is not questioning the bona fide of constitution of PM CARES Fund. His submission is that NDRF is audited by CAG but PM CARES Fund is not audited by CAG rather by a private Chartered Accountant. The nature of NDRF and PM CARES Fund are entirely different. The guidelines issued under Act, 2005 with regard to NDRF specifically provides for audit of the NDRF by the Comptroller & Auditor General of India whereas for public charitable trust there is no occasion for audit by the Comptroller & Auditor General of India.

71. We may notice one more aspect with regard to COVID-19. We have noticed above that guidelines which were issued for constitution and administration of NDRF and State's SDRMF, the guidelines provided utilization of fund for limited calamities, which did not include any biological and public health emergency. We have already noticed Clause 3.1 of

guidelines for administration of NDRF, which did not provide for the calamities which cover the biological and public health emergency. Thus, under the guidelines which were in existence with effect from financial year 2015-16 neither NDRF nor SDRF covered the biological and public health emergencies. It was only by notification dated 14.03.2020 that COVID-19 was treated as notified disaster for the purpose of providing assistance under SDRF. Obviously prior to this notification dated 14.03.2020 no contribution by any person or institution in the NDRF could have been made with respect to specified disaster, namely, biological and public health emergency like COVID-19, Outbreak of COVID-19 in India as well as other countries of the World required immediate enhancement in the infrastructure of medical health and creation of fund to contain COVID-19. At this need of the hour no exception can be taken to the constitution of a public charitable trust, namely, PM CARES Fund to

have necessary financial resources to meet the emergent situation.

72. The NDRF and PM CARES Fund are two entirely different funds with different object and purpose. In view of the foregoing discussions, we answer question Nos.3, 4 and 5 in following manner:

Answer 3. The Union of India can very well utilize the NDRF for providing assistance in the fight of COVID-19 pandemic by way of releasing fund on the request of the States as per new guidelines.

Answer 4. Any contribution, grant of any individual or institution is not prohibited to be credited into the NDRF and it is still open for any person or institution to make contribution to the NDRF in terms of Section 46(1)(b) of the Act, 2005. The contribution by any person or by any

institution in PM CARES Fund is voluntary and it is open for any person or institution to make contribution to the PM CARES Fund.

Answer 5. The funds collected in the PM CARES Fund are entirely different funds which are funds of a public charitable trust and there is no occasion for issuing any direction to transfer the said funds to the NDRF.

73. In view of the foregoing discussions, the prayer 'a' and 'b' made in the writ petition are refused. With respect to prayer 'c', we make it clear (i) that there is no statutory prohibition for the Union of India utilizing the NDRF for providing assistance in the fight of COVID-19 in accordance with the guidelines issued for administration of NDRF; (ii) there is no statutory prohibition in making any contribution by any person or institution in the NDRF as per Section 46(1)(b) of the Act, 2005.

74. The prayer of the petitioner to direct all the funds collected in the PM CARES Fund till date to be transferred to the NDRF is refused.

75. Subject to clarification of law as made above, the writ petition is dismissed.

.....J.
(ASHOK BHUSHAN)

.....J.
(R. SUBHASH REDDY)

.....J.
(M.R. SHAH)

New Delhi,
August 18, 2020.